

People will need a transparent disclosure of what went wrong, says Varanasi, who spent nearly three decades at the National Stock Exchange, where he held key positions, including group president and chief business development officer. “(From Mistry’s point of view), coming clean will be most important now. They have to demonstrate they are transparent. Otherwise, doubts will linger,” he says.

HDFC Bank has hired three law firms to conduct a review of Chakraborty’s resignation. Varanasi hopes they will speak to Chakraborty and be given full access to the entire proceedings of the board meetings.

RBI Governor Sanjay Malhotra clarified on April 8 that the central bank has not found any material concern around governance or conduct in their general supervision, where the minutes (of the board meeting) are also seen. “In our supervision we have not come across any such matter related to governance or conduct,” he said.

Meanwhile, market regulator Sebi is understood to have started an inquiry to check if there were any violations, whether board members were aware of the issues raised by the chairman and if any action was taken on his complaints. Experts say the regulator may seek the minutes of the previous board meetings.

If there is one man who can restore faith in the institution, it is Mistry, say industry executives. Mistry joined HDFC in 1981 and played a key role in its rise to the country’s largest mortgage lender. Mistry was appointed MD of HDFC in 2000 and vice chairman and MD in 2007. In the year ended March 2022, HDFC Ltd had

assets under management of over ₹6.5 lakh crore. HDFC announced a merger with its then subsidiary, HDFC Bank, in April 2022. This time, Mistry has just three months to bring stability and lift investor confidence. In his parting letter, Chakraborty also mentioned that the benefits of the merger were yet to fully fructify.

Deepak Sanchety, a former chief of surveillance at Sebi, doesn’t see significant risks from a banking perspective, but stressed on two immediate priorities for Mistry. “First, to proactively clarify, what those happenings and practices refer to, so as to remove uncertainty and restore investor confidence.

Second, to demonstrate that the bank’s internal governance and disclosure standards are robust and that any gaps, if they existed, are being addressed transparently and decisively,” he said.

Another key task for Mistry will be providing clarity on the succession. Apart from the new chairman, the stakeholders will be keen to see if Jagdishan’s tenure is renewed. Jagdishan had succeeded Aditya Puri as MD and CEO of HDFC Bank in 2020. The 60-year-old has been with the bank for close to three decades. His appointment was renewed in 2023.

Mistry says the bank’s nomination and remuneration committee

DUBAI TROUBLES

► In September 2025, Dubai Financial Services Authority barred HDFC Bank’s DIFC branch from conducting any business with new customers or soliciting or engaging in any financial promotions with new clients

► The bank branch was found to be providing financial services for customers not onboarded by the DIFC branch

► HDFC Bank recently fired

three executives following an internal investigation over alleged mis-selling of high-risk AT1 (Additional Tier-1) bonds of Credit Suisse to NRI clients, primarily through the Dubai branch

► They allegedly sold the bonds as fixed maturity instruments. After Credit Suisse was bailed out by its rival UBS in 2023, the bonds were written off by the Swiss authorities

ROADBLOCKS

► Stakeholders will hope the bank comes clean on issues around ethics and values raised by Chakraborty.

► A new part-time chairman has to be appointed and Mistry, an HDFC veteran, will have ensure a smooth transition.

► The tenure of HDFC Bank’s MD and CEO Sashidhar Jagdishan will come up for renewal in October this year.

► Investors will hope a decision on Jagdishan’s reappointment is taken soon.